

TABLE 7—EFFECT OF AA AND SISU ON ENROLLMENTS OF OUT-OF-STATE STUDENTS, AVERAGE NUMBER OF APPLICATIONS, AND AVERAGE GRADES OF INCOMING STUDENTS

	Out-of-state (1)	Number of applications (2)	Grades (3)	Grades (4)	Grades (5)
$SISU_{put}$	0.0539 (0.00666)	1.046 (0.119)	0.320 (0.0311)	0.291 (0.0274)	0.262 (0.0293)
AA_{ut}	−0.0104 (0.00659)	0.431 (0.133)	−0.0526 (0.0249)	−0.00387 (0.0232)	0.129 (0.0247)
$SISU_{put} \times AA_{ut}$	−0.0105 (0.0101)	−0.0771 (0.162)	−0.0415 (0.0367)	−0.0136 (0.0334)	−0.0172 (0.0396)
$SISU_{put} \times PS_{iput}$					0.0453 (0.0176)
$AA_{ut} \times PS_{iput}$					−0.229 (0.0208)
$SISU_{put} \times AA_{ut} \times PS_{iput}$					−0.00509 (0.0393)
Mean in baseline	0.10	9.23	1.13	1.13	1.13
Observations	1,873,289	2,229,570	1,807,688	1,753,605	1,753,605
Time fixed effects	Yes	Yes	Yes	Yes	Yes
Program-institution fixed effects	Yes	Yes	Yes	Yes	Yes
Program number of spots	Yes	Yes	Yes	Yes	Yes
Municipality trend	Yes	Yes	Yes	Yes	Yes
PS, NW, LI				Yes	Yes

Notes: This table reports results of the effect of $SISU_{put}$, AA_{ut} , and their interaction on enrollments of out-of-state students, on the average number of applications by program (in logs), and on average grades of enrolled students in the ENEM exam (in standard deviations). Treatment variables are demeaned. All columns include time fixed effects, program-institution fixed effects, program number of spots, and a municipality linear trend. Columns 4 and 5 include individual-level controls for whether students went to a public school in high school (PS), come from a non-White background (NW) or from a low-income family (LI). Column 5 includes, additionally, interactions between the treatment variable and a dummy for the student public school status. Standard errors in parentheses are clustered at the university level.

adoption of SISU increases average grades of enrollees by 0.3 standard deviations. Therefore, although the government arguably introduced SISU to expand access to higher education, the increase in competitiveness after market integration could be expected to hurt the vulnerable groups. Following this argument, one can think that the crowding-out of low-SES students observed in Table 6 may be entirely explained by the increase in enrollments of out-of-state students, who are disproportionately from private schools. Yet, Table 8 shows that this is not the case.

In Table 8, I estimate results separately by student status (local versus out-of-state and from public versus private school) and by quartile of program competitiveness. Note that the coefficients of the four panels add up to zero, so a reduction in one group has to be compensated by an increase in another. Panel A shows that SISU reduces enrollments of *local public school students* by 10.5 percentage points in the least competitive degrees (quartile 1). Enrollments of *out-of-state public school students* increase by 2.7 percentage points (panel C), resulting in a net effect of −7.8 percentage points. While part of this crowding out is explained by a 2.3 percentage point increase in enrollments of *out-of-state private school students* (panel D), the remaining 71 percent of this overall effect is attributed to a 5.5 percentage